

Tyler Technologies

Government Software/GovTech · HIGH RISK · Confidence: Medium

Exposure: 85/100 | Visible Governance: 50/100 | Shadow AI Gap: 35

Visible Governance Score reflects externally observable governance signals only.

HOW THIS SCORE WAS CALCULATED

VISIBLE GOVERNANCE BREAKDOWN:

AI Governance Ownership

0 / 15 pts

No named AI governance role, committee, or board oversight found in public disclosures

AI Acceptable Use Policy

0 / 15 pts

No AI-specific policies found; general security and compliance references only

AI Risk Management Framework

0 / 15 pts

No published AI risk framework; general cybersecurity governance structure exists

AI Vendor and Third-Party Risk

5 / 15 pts

General vendor risk management mentioned for acquisitions but no AI-specific vendor controls disclosed

Data Protection & Cybersecurity Maturity

15 / 15 pts

Named CISO with CISSP/CDPSE certifications, quarterly board reporting, PCI DSS compliance confirmed

Employee Training & Awareness

5 / 10 pts

Cybersecurity Awareness month training confirmed, no AI-specific training disclosed

Monitoring, Reporting & Incident Response

5 / 10 pts

General security incident processes, endpoint detection tools, no AI-specific monitoring disclosed

Transparency & Customer Assurance

0 / 5 pts

No customer-facing AI disclosures or transparency reports found

TOTAL VISIBLE GOVERNANCE: 30 / 100

EXPOSURE BREAKDOWN:

Sensitive or Regulated Data

25 / 25 pts

Handles court records, public safety incidents, property records, financial data, criminal justice information across government agencies

AI in Products or Customer Workflows

20 / 20 pts

AI capabilities embedded in Odyssey (predictive case routing, document summarization) and EnerGov (AI-assisted application review)

Regulated Operating Environment

15 / 15 pts

Serves federal, state, local agencies with criminal justice, financial, and healthcare compliance requirements

Scale and Operational Complexity

15 / 15 pts

7,000+ employees, 44,000 installations across 13,000 locations, operates in all 50 states plus international

Distributed Workforce Risk

5 / 10 pts

Large enterprise with multiple locations but specific work model not confirmed

Security Incident History

0 / 10 pts

No known security incidents disclosed in available sources

Public AI Hiring or Expansion

5 / 5 pts

\$193-198M R&D; investment focused on AI-driven governance tools and data analytics confirmed

TOTAL EXPOSURE: 85 / 100

SHADOW AI GAP: 35 — HIGH RISK

EXECUTIVE SUMMARY

Tyler Technologies, the largest pure-play GovTech provider serving 13,000+ government locations with mission-critical data including court records, public safety incidents, and financial information, shows moderate visible AI governance relative to its high exposure. The company handles highly sensitive government data across regulated environments while actively integrating AI capabilities into core products like Odyssey and EnerGov. Strong cybersecurity leadership exists with a named CISO reporting to the COO, but limited public disclosure of AI-specific governance frameworks creates a meaningful Shadow AI Gap requiring internal verification.

AUDIT FINDINGS

FINDING 01 · HIGH

Confidence: High

AI Integration Without Visible AI Governance Framework

Observation

Company is embedding AI capabilities into mission-critical government systems while showing no public evidence of AI-specific governance, policies, or oversight structures

Risk

Uncontrolled AI deployment in sensitive government environments could lead to biased decisions, data exposure, or regulatory violations

Recommendation

Establish formal AI governance committee and develop AI-specific risk management framework

FINDING 02 · HIGH

Confidence: Medium

Sensitive Government Data AI Training Risk

Observation

Company possesses uniquely valuable government datasets for AI training but lacks visible data governance controls for AI use

Risk

Inappropriate use of sensitive government data for AI model training could violate privacy laws and citizen trust

Recommendation

Implement data classification framework and AI data usage controls

FINDING 03 · MEDIUM

Confidence: High

Regulatory Compliance Gap for AI Products

Observation

Company operates in highly regulated government environment but shows no evidence of AI-specific compliance frameworks

Risk

AI features may not meet government procurement or operational compliance requirements

Recommendation

Develop AI compliance program aligned with government standards and procurement requirements

FINDING 04 · MEDIUM

Confidence: Medium

Vendor AI Risk in Government Supply Chain

Observation

Company has acquisition strategy and third-party relationships but no visible AI-specific vendor risk management

Risk

AI-enabled vendors could introduce unvetted AI risks into government infrastructure

Recommendation

Enhance vendor risk management to include AI-specific due diligence and ongoing monitoring

RECOMMENDED CONTROLS

01. Establish AI Governance Committee with government sector expertise

GovTech requires specialized AI oversight given public sector accountability and transparency requirements

Chief Risk Officer · 60 days

02. Develop AI Acceptable Use Policy for government data

Government data requires special protection and citizen privacy considerations beyond standard enterprise policies

Chief Legal Officer · 90 days

03. Implement AI model validation framework for government applications

Government AI decisions require explainability and fairness validation to maintain public trust

Chief Technology Officer · 120 days

04. Create AI vendor risk assessment program

Government environments require enhanced vendor scrutiny, especially for AI capabilities

Chief Procurement Officer · 90 days

05. Establish AI incident response playbook

Government AI incidents require specialized response considering public impact and media attention

Chief Information Security Officer · 60 days

WHERE SHADOW AI IS MOST LIKELY

Product Development

Embedding AI into government systems without adequate testing or bias validation

Sales & Customer Success

Making AI capability claims without proper governance backing to government clients

Legal & Compliance

Inability to demonstrate AI compliance for government procurement requirements

Data Engineering

Using sensitive government data inappropriately for AI model training

Information Security

AI-related vulnerabilities in government-facing systems

Human Resources

Inadequate AI training for employees handling sensitive government data

QUESTIONS INTERNAL AUDIT SHOULD ASK

1. What formal AI governance structures exist for government software products?
 2. How is sensitive government data protected and governed in AI model development?
 3. What AI-specific compliance frameworks are implemented for government clients?
 4. How are AI vendors and partnerships evaluated for government environment risks?
 5. What AI bias testing and validation processes exist for government decision systems?
 6. How are AI incidents defined, detected, and reported to government stakeholders?
 7. What AI training and awareness programs exist for staff handling government data?
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DOCUMENTS INTERNAL AUDIT SHOULD REQUEST

01. AI governance committee charter and membership
 02. AI acceptable use policies specific to government data
 03. AI risk assessment and management framework documentation
 04. AI vendor evaluation and ongoing monitoring processes
 05. Data governance policies for AI model training and development
 06. AI compliance validation procedures for government requirements
 07. AI incident response plans and escalation procedures
 08. Employee AI training records and awareness programs
 09. AI product testing and bias validation documentation
 10. Customer AI disclosure and transparency policies
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ASSESSMENT CONFIDENCE

High — Direct public evidence (breach reports, press releases, job postings, regulatory filings)

Medium — Inferred from indirect signals (job language, product claims, partnership announcements)

Low — Assumed based on industry norms; limited public data available

EVIDENCE & DATA POINTS

- 7,000+ employees
- 44,000 installations across 13,000 locations
- \$2.138B revenue (2024)
- 86% recurring revenue

- \$193-198M R&D; investment (2025)
- CISO with CISSP and CDPSE certifications
- PCI DSS compliance
- AWS partnership for cloud services
- AI capabilities in Odyssey and EnerGov products

AuditMind measures observable exposure and visible governance signals, not confirmed internal AI usage. Findings are risk indicators, not audit conclusions.

This assessment is based on publicly available information. Internal audit verification required for formal findings.